

principal. He was virtually wagering that the issue would not be called for some years to come.⁶ As it happened, the issue was called that very month for redemption at \$11 per share on April 15, 1935.

Example 2: After the issue was called, the price promptly declined to 11. At that time the issue offered an unusual opportunity for profitable *short-term investment on margin*. Brokers buying the shares at 11 (without paying commission), say on January 15, 1935, could have borrowed \$10 per share thereon at not more than 2% per annum. This operation would have netted a sure return at the rate of 40% per annum on the capital invested—as shown by the following calculation:

Cost of 1,000 shares at 11 net.....	\$11,000
Redeemed Apr. 15, 1935, at 11 plus dividend	11,150
Gross profit	150
Less 3 months' interest at 2% on \$10,000.....	50
Net profit	100

Net profit of \$100 on \$1,000 in 3 months is equivalent to annual return of 40%.

Needless to say, the safety, and the resultant *investment* character, of this unusual operation derived solely from the fact that the holder could count absolutely on the redemption of the shares in April 1935.

The conception of investment advanced above is broader than most of those in common use. Under it investment may conceivably—though not usually—be made in stocks, carried on margin, and purchased with the chief interest in a quick profit. In these respects it would run counter to the first four distinctions which we listed at the outset. But to offset this seeming laxity, we insist on a satisfactory assurance of safety based on adequate analysis. We are thus led to the conclusion that the viewpoint of analysis and the viewpoint of investment are largely identical in their scope.

⁶ In recent years many United States Government short-term securities have been purchased at prices yielding less than nothing to maturity in the expectation that the holders would be given valuable exchange privileges into new issues. According to our definition all such purchases must be called speculative to the extent of the premium paid above par and interest to maturity.